Lesson 3: Simple and Compound Interest

Simple interest: I = P i n, where P is the principal,

i is the interest rate per period and n is the number of periods.

Future worth with simple interest: F = P (1 + i n).

Compound interest

Future worth: F = P (1 + i)^n.

Example: P = 10,000 pesos at 8% compounded annually for 5 years gives F = 14,693.28 pesos.

Effective interest rate

ER = (1 + r/m)^m - 1, where r is the nominal rate

and m is the number of compounding periods per year.